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INTRODUCTION

In simple words commerce can be defined that it includes all those activities, which are concerned with providing of goods and services. In this way commerce with production of goods and services covers all activities of marketing and distribution including the services of retailer, wholesalers, other middleman, banking, transportation, warehousing, advertising, insurance, etc.

DEFINITION

Some of the authors have defined commerce in these words:

1. ***“commerce embraces all activities of various agencies which ensure a flow of goods and services between actual producers and the ultimate consumers”.***

2. ***“A comprehensive term for all form of trade wholesale, retail, import, export etc. All services which assist the carrying of trade, such as banking, insurances and transport etc”.***

3. ***“Trading functions, together with warehousing, transport and insurrance functions are collectively, COMMERCE”***

DIFFERENTIATE BETWEEN COMMERCE AND BUSINESS:

Business and commerce though two different words have identical meaning and concept and can be used alternatively. Americans prefer to use the term business. While britishers like to employ the word commerce, but in the same meaning.

There are some other businesses terms also which are differently used by both the nations in the same context.

BRITISHERS	AMERICANS
Company	Corporation
Debenture	Bond
Limited	Incorporated
Sahreholder	Stockholder

For example. Some authors define commerce as follows:
Commerce is concerned with the exchange of goods. It includes all those activities which are related to the transfer of goods from the place of production to the ultimate consumers.

It is clear from the above definition that it can only be applied to the definition of marketing.

As for profit, every adopted to earn livelihood entails profit.

In short, business or commerce is the sum of the following activities.

1. Manufacturing activities
2. Marketing (exchange, distributions, finance etc)

   Hence, in this book business and commence are used in the same sense, as is the fact.

IMPORTANCE OF BUSINESS:

PRODUCTION OF GOODS: It is the only business that gave rise to production on commercial basis. In the olden days man produced goods for his own consumption. He could not produce complex and sophisticated goods like cars, TV's, airplanes, computers etc that are the fruits of business.

DISTRIBUTING GOODS: Business activity is not confined to production. It includes distribution Goods and goes even beyond it in the form of guarantee or warranty, after sales services, and making available spare parts.

SUCCESS OF INVENTION & INNOVATIONS: The success of inventions counts on business. New inventions are speedily coming up. Today's invention gets obsolete tomorrow. Today's luxury and comfortable life is the outcome of business.

SUCCESS OF INDUSTRIAL REVOLUTION: The success of Industrial Revolution that began in the late seventeenth century can be attributed only to business. The main theme of the revolution was some new inventions in the textile sector.

INTERNATIONAL BUSINESS: International business activities developed international business. Today goods and business services are traded across the borders around the word worth trillions of dollars.

STANDARD OF & WEALTH: Business creates wealth that increases standard of living. In the past life was difficult because the consumer had to make things on his own and could not produce everything. Business made it possible for the consumers to get desired products on the markets.

GROWTH OF HIGHER EDUCATION: Today's business has become rather complex. Business complexities have emerged from competition, development of new production, marketing techniques, and increased human faculty. An average and ordinarily educated person cannot analyze the situation, understand and solve problems, so these complications increase the level of education.

FUNCTIONS / SCOPE OF COMMERCE

The commerce has a wider scope. In case of home trade, the wholesalers, retailers and other middlemen connect the actual producers on one hand and the ultimate consumers on the other hand. Various closely related activities of commerce such as transport, warehousing, insurance, banking and finance in short all the functions of commerce are included in the scope of commerce.

PRODUCTION: Business function starts with the planning for production, which is conversion of materials from one from to another. It requires the purchase of raw materials, machinery and equipment and hiring different classes of laborers. Production, which is a commercial activity, has four factors land, labor, capital and entrepreneurship without which it cannot take place.

BANKING FINANCE: Banking and finance are part of commerce. By performing this service, commerce is able to finance the needs of the business firms. Through banking producers and middlemen get the needed funds. Bank helps businessmen in foreign trade by issuing drafts, L/Cs, and discounting bills of exchange.

INSURANCE(RISK): Risk is inherent to business. Business risks include theft, fire, and change in prices, government policies and restrictions, strikes, change in fashion, changing taste of consumers. Risk may be classified as:

A: Insurable risks.

B: Uninsurable risks.

Those risks, which can be covered under an insurance policy, are referred to insurable risks and initial theft, fire and sea hazards.

STORING/ WAREHOUSING: Warehousing may also be referred to as the process of storing the main objective of which is to hold goods for safety till the time they are sold. On the other hand, warehousing is the stores or place where goods are kept for safety. There are various kinds of warehousing, public warehouse, private warehouse, and cold storage

TRANSPORTATION: Transporting is so as important activity that no business can be performed without it. It refers to moving goods from the point of production to the point of consumption. It helps the producer dispose of their goods to the far and needy markets. It creates place utility. Quick and modern means of transport have made possible to send goods in any part of the globe in a very short period.

INFORMATION: Commerce requires information at every stage. In production, in buying, in selling, and in research one needs exact and latest information. Well – informed businessman is more successful than a uniformed person. Information activity of commerce also includes advertising without which major business activity cannot be successful.

TRADE (BUYING & SELLING): Trade has a pivotal role in business. Trade refers to buying and selling. It also covers imports, exports, retailing, wholesaling and brokerage. Business and trade are compulsory to each other. Infect trade is a branch of the business.
Business requires acumen of the businessman. Before buying he has to take in to account quality, variety, price, design, and term of sales, guarantee and services offered by the sellers. In selling, he has to locate customer, advertise his products, determine channel of production, prepare promotional material and fix selling prices. He must also be aware of customer's trade, trends and preferences

PROBLEMS OF BUSINESS/ ESSENTIAL OF BUSINESS OR FACTORS MUST CONSIDER B/F STARTING BUSINESS

INFRASTRUCTURE: Infrastructure provides a sound basis for all types of businesses. It includes basic facilities, like roads, power plaits, and transportation and communication systems. Whether it is a manufacturing concern or services organization, small or large business, all need infrastructure.

FUTURE OF BUSINESS: This factor should be considered separately and specially. The factor of technology is especial consideration because it is fast changing and renders almost daily existing products outdated and obsolete. Today's products get outdated tomorrow.

NATURE OF BUSINESS: In starting a new business the businessman has to decide on the type and nature of business. The fields open to him are industrial, commercial, or service areas. He may choose manufacturing, wholesaling, retailing, brokerage, import or export.

LOCATION: Success of business depends on right location. Right product, at the right time, at the right price, at the right place is the ingredients of success. Industrial and commercial concerns have to ponder over different criteria for location.

GOVERNMENT: Government policies either encourage or discourage the starting of a new business. The new business is boosted if the government offers incentives, as tax exemptions, loan facilities, minimum government interference, and facility of importing raw materials

RISK: Risk is essential factor of every business. Before starting a new business the investor must calculate how much risk lays a head and how much he can assume.

LABOR PROBLEMS: The business requires labor. The larger the business the greater the number of laborers required. The business enterprise has to know what type of labor, in what number, and at what wages has to be recruited.

BUSINESS INFORMATION: New & old business can only survive on latest, relevant, & right information The businessman needs to know of the competition, sources of supply, location & income of customers, inventions, change in technology, Government policies
And lot of information.

TYPES OF GOODS SERVICES: It has to be decided what type of goods and services are to be offered to consumers, and whether they are to be manufactured or bought. Products are offered to the public on the basis of price, color, size, design, model, packing, and warranty. A particular channel of distribution has to be selected to bring the goods to the market.

MARKETING: Marketing facilities the goods and services to move from producers to consumers. It includes Buying, selling, transporting, and warehousing. Marketing is not possible without grading or standardization. Advertising, personal selling and sales promotion are used to attract customers.

QUALITIES OF GOOD BUSINESSMAN

RISK ASSUMING: The business is full of risks of various types and they always stay a long, as the business exists. Risk is the chance of loss, fire death of a key employee, competition, inventions, various government policies etc. The businessman has to meet all these challenges so he has ability of risk assuming.

GOAL – ORIENTED: Before starting a business he should set goals or objectives of his firm and continue establishing new and revising appraising the old ones so businessmen should be goal oriented.

WELL – INFORMED: It is the century of information technology. The businessman should be well informed of the business conditions, competition, changing environment, national and international affairs, competent to foresee new expected risks and challenges.

UNBELIEVER OF MYSTICAL FORCES: The businessman should have scientific approach to his business and not depend on leave things to chances, fate, luck etc. He should be able to determine his own course, plan it, organize things and control the results.

RATIONAL, NOT EMOTIONAL: Emotional persons cannot succeed in his life. The businessman should not only be courageous, ambitious, dynamic but also rational, wise and base his decisions on reasoning.

PERFORMANCE ORIENTED: The businessman is the manager of his business and hence he must plan, organize and control his business effectively. He has to set objectives, make policies, set procedures, establish rules, and prepare programs and make budgets.

DYNAMIC AND STEADFAST: The businessman can only be successful when he is dynamic and steadfast. Being energetic and forceful, devoted, he will help the business come over all difficulties, hurdles and bottlenecks on the way to success.

Branches of commerce/Business

PROFESION:

According to Oxford Dictionary, It is a paid occupation, especially one that Requires advanced education and Training for example; architecture, doctor, teacher, singing, dancer etc.Chambers dictionary defines profession as follows:

- ***"An employment not mechanicals and requiring some degree of learning"***
- ***"The collective body of persons engaged in any profession"***

Profession is also referred to as a calling, vocation or line to earn occupation Requiring advanced education and training & involving intellectual skills, as medicines, law engineering, teaching etc,

INDUSTRY:

Industry has been defined as all those business and economic activities, which result in the creation of goods and services. For example in Pakistan there are 15 sugar miles so that 15 miles are the industry of sugar in Pakistan. Industry has been defined as follows:

- **Industry is any branch of manufacture and trade.**
- **An industry is a commercial undertaking that provides services as catering, hotel, tourist, and entertainment etc.**

TRADE: Trade is buying and selling. It is exchanged of goods and services. It is the first part of marketing function. (Function of exchanged), second and third being distribution and facilitating functions respectively. In the process of buying, the businessman considers price, quality, variety, discount, guarantee, packing and brands. In selling, he has to select the type of customer and his purchasing power, likes, dislikes, preferences, are to be determined.

INSURANCE: Insurance is the means of protecting business from possible losses / risks. Some risks are fall in prices; changes in fashion, death of a key employee are uninsurable. Other risks like fire, theft, life etc. are insurable. The insurable field is managing by specialized institution called insurance companies that charge fee known as a premium for insurance from the insured.

WAREHOUSING: Warehousing may also be referred to as the process of storing the main objective of which is to hold goods for safety till the time they are sold. On the other hand, warehousing is the stores of place where goods are kept for safety, aging, price, rise, weather conditions of seasons etc. They are of various kinds as bonded warehousing, public warehousing, private warehouse, and cold storage. The details of warehousing are given in a separate chapter on it.

MARKETING: Marketing is a total system of business activities designed to plan, price, promote, and distribute want – Satisfying products , services, and ideas to target markers in order to achieve organization objectives. It may be defined as under.

∗ Marketing is the process by which goods and services move from the point of production to the point of consumption.

∗ Marketing covers all business activities necessary to affect the transfer in the ownership of goods and services to provide for their distribution.

∗ Marketing embraces all those activities that start up immediately after the production and end up with the consumption.

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INTRODUCTION: It is the oldest type of business ownership. When the mankind emerged out of the stone era started business in sole ownership. It provides for full ownership of profit, total control and rouses personal interest. It enjoys many benefits which other ownership cannot. Secrecy and ownership of full profit are main characteristics. However, it has some drawback like uncertain life, limited capital and difficulty in operations.

DEFINITION:"It is type of business organization, which is owned by a single owner who is also referred to as sole proprietor"

ADVANTAGES

1. **OWNERSHIP OF ALL PROFIT**:A sole proprietorship has only a single owner so there is no concept of distribution of profit and is wholly owned by him. On the other hand in company and partnership profits are distributed among owners.

2. EASE OF FORMATION: It is quite easy to form a business as sole proprietorship. Its formation doesn't require any permission from the government. It does not incur any expenditure as is required in the formation of partnership and company. The formation of a company requires registration with the registrar of the government, drawing memorandum and articles of association.

3. EASE OF DISSOLUTION: It is quite easy to dissolve sole proprietorship. No much time or cost is required in bringing it to an end. But it is quite difficult to dissolve company. Its dissolution involves much time and money, Permission of shareholders the registrar, etc.

4. TAX SAVINGS: Sole proprietorship enjoys the advantage of saving various types of taxes. In this form of business income tax is imposed only once, but in the case of company the income tax is imposed twice. First on the company's profit and then on the dividend of the shareholders.

5. PERSONAL INTEREST: In sole proprietorship the owner takes personal interest and offers maximum of his services and energy for growth of his business, because he is the single owner whole profit

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6. MINIMUM LEGAL CONSTRAINTS: The Company and the partnership have to follow many laws, rules and regulations from which the sole proprietorship is exempted.

7. SECRECY: Secrecy is an important element of any business, which can easily be maintained here. But in the company secrecy of business and accounts cannot be maintained because all these affairs have to be printed for shareholders, bankers and General public.

8. CREDIT STANDING: This type of ownership enjoys credit standing because it has unlimited liability to pay off its debts. Therefore lender willingly offers credit to it.

9. FREEDOM OF ACTION: Sole proprietorship enjoys freedom of action. Its owner makes his own decision without any pressure from anywhere. This freedom saves the business from complications and waste of time.

DISADVANTAGES

1.UNLIMITED LIABILITY: The major disadvantage of sole proprietorship is unlimited liability. If the business assets are insufficient to discharge its liability the proprietor will have to resort to his personal property to make up any deficiency in meeting his business obligations.

2. DIFFICULTIES IN MANAGEMENT Since the form of business organization cannot afford the costly services of highly qualified personnel its management is in the hand of low or nonqualified personnel.

3. LIMITED SIZE: The business usually does not grow to a high level because of limited amount of capital and non – availability of highly qualified personnel.

4. LACK OF OPPORTUNITIES FOR EMPLOYEES: Sole proprietorship does not offer career opportunities to its employees because of its limitation on size. But the partnership and company offer such opportunities.

5. UNCERTAIN LIFE: The life of business depends on the efficiency or life of the single owner. If the owner is inefficient or dies the business will come to an end. But the company will not close down if its owners die.

SUITABILITY OF SOLE PROPRIETORSHIP

MANUFACTURING: The following manufacturing business can be undertaken by the sole proprietorship. Bakery, Publication, Printing, Cosmetics, Bookbinding, soap etc these manufacturing units can be run on small scale.

WHOLESALING: In wholesaling the follow commodities maybe dealt in General store, chemist, Cloth, other types of shop keeping

RETAILING:

In retailing the following items are suitable:

∗ Bakery.
∗ Readymade garments.
∗ Bookstall.
∗ Hawker ship.
∗ General store.
∗ Clothes.
∗ Stationery.
∗ Shop keeping etc.

SERVICE: In service business

The following activities can be carried out.

∗ Barber shop ∗ Consultant ∗ Tuitions ∗ Journalism

∗ Repairing ∗ Tourism ∗ Construction service.

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CHAPTER NO: 3

PARTNERSHIP

INTRODUCTION When to or more than two persons doing business combine with the purpose to get profit, it is called partnership. It is business ownership, which must require at least two partners. The maximum numbers of partners is 20 but in the case of banking it are only 10 to run a partnership an agreement between the partners is essentials which is called partnership agreement. After sole proprietorship it is most common form of business ownership in the business world.

DEFINITION

"Partnership is an association of two or more persons to carry on as co-owners a business for profit which needs an agreement".

ADVANTAGES

1. Tax saving The greatest advantage of partnership is tax saving. Since the profit is divided among partners the taxable income is reduced resultant in low income tax Moreover, Income of the partnership is not taxable and it's become taxable when it is divided among the partners. So the tax is imposing only on the income of partners.

2. Combined Judgment and Skills It is common belief that two heads are better than one, and it is true especially in partnership where partners have different skills, experiences, abilities, and qualifications. These different and diversified qualities proved to be a windfall for the partnership business.

3. Larger Capital In partnership capital of the business may be greater than the sole proprietorship. Increasing the number of partners can increase capital any time.

4. High Credit Standing Partnership enjoys the highest credit standing of all three types of business ownership because if the assets of the business are insufficient to pay off debits, the personal property of partners can utilize. And this is the matter of satisfaction for creditors.

5. Retention of Valuable Employees Partnership has more than one co-owner. If it has a key and valuable employee, and if there is a risk or likelihood that he made leave the job, He may be offered to join the firm as a co-owner. In this way important employees can be retained.

6. Personal Interest The business and its success or survival depends upon the personal interest of owner. In partnership partners are very enthusiastically involve in running their business and therefore business gets prosperous from their personal interest and efforts.

7. Definite legal Status Partnership is one of the oldest forms of business ownership and therefore, it has clear-cut answers about the legal acts, Rights, duties, liabilities of partners. Therefore partnership problems can be clearly and definitely solved in the light of law.

DISADVANTAGES

1. Lack of continuity Partnership lacks in continuity. It has a limited life. It comes to an end in the following situations some of which are common.
∗ Death of partner ∗ Admission of partner ∗ Retirement of a partner
∗ Insanity ∗ When the partner is convicted for moral offence
∗ Bankruptcy of a partner

2. Unlimited liability This is a serious disadvantage of partnership. According to which if the assets of the business are insufficient to pay off debts, the personal property of partners can utilize to discharge of business debts.

3. Divided Control and Management Management and control is divided among the various partners, which create many administrative problems. Divided control causes delayed decisions. Duties and responsibilities are difficult to fix. Accountability is weak.

4. Lack of Transferability (Frozen Investment) Partnership has a frozen investment. Whatever once invested in the business cannot be with draw by the partners. If a partnership will stand dissolved. In company, the shares can be transferred without affecting the existence of the company.

5. Disagreement among the partners The greater the numbers of the partners, the higher are the chances of disagreement among them. The partnership business is a loss from the possibility of the disagreement among the partners.

PARTNERSHIP AGREEMENT

When two or more than two persons doing business combine with purpose to get profit, it is called partnership. To run a partnership an agreement among the partners is essential which is called partnership agreement. It may be written or oral. Partnership agreement is also known as articles of partnership & partnership deed.

Contents of the Agreement

1. The name of firm & the location.
2. Nature of business.
3. The length of life of the partnership.
4. The names and addresses of partners.
5. The amount of investment by each partner.
6. The profit sharing ratio of the partners.
7. Name of the partner they are in management.
8. A provision of salaries & commission to partners.
9. Rights, duties and liabilities of partners.
10. A provision of dissolution of the partners.
11. Procedure of admission of a new partner.
12. A provision of the method of settlement of disputes.
13. Determination of rate of Interest on capital & Interest on loan.
14. The name of the banker.
15. Names of auditors.
16. The singing authority of the check.
17. A provision of the retirement of a partner & dissolution of firm.
18. Determination of goodwill & bonus to partners.

KINDS OF PARTNERS

Active partner These are the partners who take active part in the business. They invest Capital and share in profit or loss. They have unlimited liability for debts of the firms in their profit sharing ratio. They have participation in decision – making and management.

Sleeping Partner/ Silent/ Dormant partners These are the partners who invest capital but do not take active part in management. They have all rights and liabilities, which an active partner has. They also share in profit or loss.

Secret Partners A secret partner is one who is not known to the public as a partner. He has capital in the business, enjoys profits and share losses. He may participate in management and decision – making.

Nominal Partners He is the person who is not a real partner, but to get the general public he is declared as a partner. He has no investment in the business. He does not share in profit or loss and is not responsible for the debt of the business, but is responsible for credit investment.

Minor Partners They are under 21. They have investment with a profit sharing ratio. But their liability is limited to their business investment. They are not allowed to take part in the management of the business, but they can through their attorney. Check the books of accounts.

Difference between Dissolution of Partnership & Dissolution of Firm

It must be kept in mind that the Dissolution of partnership and dissolution of the firms are two different things. The Dissolution of partnership never refers to the Dissolution of the firm. The dissolution of partnership means change in the composition or arrange of partners. The dissolution of the firm means end to the partnership business.

DISSOLUTION OF PARTNERSHIP

Dissolution of partnership means modification in the partnership agreement with reference to relations among partners. In fact it is a reorganization of partnership under which composition of partners is changed. The change may result from increase or decrease in the number of partners. If Ahmed, Babar and Salim are partners in a firm and Salim deices to retire from it, dissolution of partnership will take place; now the firm will be reconstituted or reorganized between the two remaining partners, namely Ahmed and Babar.

Conditions of Dissolution of Partnership

1. Admission of Partners If a new partner is admitted to the firm, the old partnership will have to be dissolved and new agreement is draw up to continue the business.

2. Retirement of a Partner In the case of retirement of a partnership the old partnership will have to be dissolved and new agreement is draw up to among the remaining partners to continue the business.

3. Insolvency of a Partner If a partner in a firm is adjudged bankrupt by the court of law, the partnership will turn dissolved. However, the remaining partner may decide to continue the business.

4. Insanity of Partner and Death of a Partner If a partner gets mad or insane the partnership stands dissolved. The death of a partner brings the partnership to the dissolution

5. A convict Partner When a partner is convicted of crime i.e. he is declared to be guilty by the court of law, the partnership will get dissolved.

6. Expiry of Period If the partnership were formed for a definite period of time it would bread up the expiry of that term.

7. Conclusion of venture Partnership may be formed to undertake a particular venture or project. Once the project is complete the partnership stands dissolved.

DISSOLUTION OF THE FIRM

The dissolution of the firm means end to the partnership business.

Conditions of Dissolution of the Firm

1. Illegality of Business

A firm involve in illegal businesses firm will be dissolved.

2. Insolvency of all Partners

Where all partners in a firm become bankrupt the firm becomes dissolved.

3. Mutual Agreement

Partnership is formed by mutual consent so the firms may also be dissolved if all partners agree.

4. Notice of Dissolution

If the partnership exists at will for a certain period of time and continues beyond the stipulated period the firm will stand dissolved if a notice in writing is served by a partner to others showing his intention to dissolve. The dissolution date will be that mentioned in the notice.

SUITABILITY OF PARTNERSHIP

Partnership business may be useful for all the four types of business activities.

Manufacturing

The following manufacturing business can be undertaken by the sole proprietorship.

∗ Furniture ∗ Cosmetic ∗ Soap ∗ Publication
∗ Bakery ∗ Printing Book – binding

Wholesaling

* ∗ General Store
* ∗ Cloth
* ∗ Chemist
* ∗ Hardware

Retailing

* ∗ Bakery
* ∗ Book stalls
* ∗ General Store
* ∗ Cloth
* ∗ Stationery
* ∗ Readymade Garments
* ∗ Hawker ship
* ∗ Shop keeping etc

Service

* ∗ Repairing
* ∗ Accounting firm
* ∗ Libraries
* ∗ Construction work
* ∗ All classes of labor
* ∗ Medical profession
* ∗ Transportation
* ∗ Advisory Services
* ∗ Traveling
* ∗ Construction services
* ∗ Tuition
* ∗ Journalism
* ∗ Tourism
* ∗ Advocates
* ∗ Brokers
* ∗ Engineering
* ∗ Commission agents
* ∗ Offices
* ∗ Hotel

RIGHTS OF THE PARTNER

According to partnership Act 1932, following are the rights of a partner.

1. Right of profit:

All the partners are entitled to share the profits of the firm equally.

2. Right of Opinion:

Every partner has right to express his opinion relation to business activities. But a single partner cannot change the nature of business.

3. Right of Inspection:

Every partner has a right to check the accounts of the business.

4. Right of Management:

Every partner has a right to take part in the management of the business of the form.

5. Right of Salary:

A partner has a right to demand salary for performing his duties in the management of a business.

6. Right to Exercise Power:

To protect the form loss, every partner has a right to us his power.

7. Right of Retirement:

Every partner has a right from the firm serving notice.

8. Right of Existence:

Any other partner from the business cannot expel a partner. Every partner has a right to live in the business.

9. Right of Admission:

No new partner can be admitted without the consent of all the partners in business.

10. Right of Interest:

If a partner has provided extra capital than his share, he can also receive interest on it.

LIABILITIES OF A PARTNER

1. Loss Liability:

In case of loss each partner will equally contribute the lass, if there is no agreement.

2. Liability of all Actions:

All the partners of the firm are jointly responsible for all the actions done by the firm.

3. Liability of a New Partner:

A new partner is liable for all the acts the firm done after he becomes a partner.

4. Liability of Insolent partner:

The property of insolvent partner is not liable for any obligations of the firm after the date on which the court issues the order of insolvent.

5. Liability of Deceased Partner:

If a partner dies and the firm suffers losses the property of the deceased cannot be held liable for any payment.

6. Liability of Fraud:

If any partner commits fraud the other partners will also be equally liable with him.

INTRODUCTION:

The growing needs of modern large – scale business with advancement in science & technology have all needed a large amount of capital investment. Joint stock company form of business organization, which can fulfill it. When a business is established on a large scale the most suitable form of business organization is a joint stock company. The company is formed with the capital of shareholders. The capital of company is divided into equal small units, each unit being known as a share. The capital is subscribed when public buy these shares. Once the shares are sold they are not taken back until the final liquidation of the company. However, the shareholder can sell his shares to other person without affecting the share capital of the company.

- According to the company law:

"A voluntary association for profit with capital divisible into transferable shares with limited liability, having a corporate body common seal"

- According to the company ordinance 1984:

"A business registered under company ordinance 1984 is a company"

- Lord justice Lindsey of England:

"An association of many persons who contribute money worth to a common stock and employ it for a common purpose"

- A company can be defined as:

"An artificial being, intangible, invisible, but existing in contemplation of law"

A company is an artificial being but unlike partnership and sole proprietorship can enter into an agreement, can borrow all in its own name. It is run not by its unlimited number of owners known as shareholders but run by the board of directors who are elected from among its numerous shareholders on the basis of their shareholding.

CHARACTERISTICS OF A COMPANY

The joint stock Company is a form of business has the following chief characteristics, which the other forms sole proprietorships do not enjoy.

Separate Management:

In the corporation, ownership is separated from the management. Shareholders do not take part in the affairs of the business. They elect a board of directors from among themselves.

Compulsory Registration:
The corporation cannot come into existence unless it is registered under the company ordinance 1984 in Pakistan. After registration, it is a certificate issued known as registration certificate. Another certificate is required known as commencement certificate necessary to start business.

Limited Liability:
A company limited liability makes it quite different from other forms. The liability of shareholders is limited to the amount of their investment in the company.

Transferability of ownership:
Shares of the company can be bought and sold in the open market. This act is referred to as transferability of ownership, which does not affect the life of the company.

Board of Directors:
Every company must have a board of directors who are the representatives of the shareholders who elect them in the general meeting of shareholders and runs the whole affairs of the company.

Charter Restrictions:
The company cannot change its name, head office, objectives, authorized capital and liability. For any change, it must get a prior permission from its shareholders, civil court and the government.

Annual Financial Statement:
Every public company must submit its annual financial statements to the registrar of the companies. Financial statements include income statement and balance sheet.

Public Subscription:
The company (public company only) should offer its shares to the general public for subscription to raise funds.

Employees Benefits:
Employees of the company enjoy a lot of benefits as perks, allowances, pension, gratuity, provident fund, vacation, medical etc. which other forms of ownerships cannot afford to offer.

Disadvantages of the Company

Taxation:

The income of the company is dually taxed, first as an income of the company and second as the income of the shareholders. The company has also to pay corporate tax, which is imposed on its form.

Organizational Expenses:

A great cost is incurred in the formation of the company. A corporation has to pay registration fee. It has to pay a legal fee to its legal advisor who prepares memorandum and articles of association. Cost also incurs in the publication of prospectus in the newspapers.

Government Restrictions and Reports:

All corporations are subject to the approval of the government, which imposes certain restrictions and exercise some controls over them. They must submit annual financial statements to the registrar.

Lack of Secrecy:

Business and financial secrecy cannot be maintained in the company. Every year thousands of copies of financial annual statement are to be distributed to the company shareholders explaining the company's financial and profit position.

Lack of credit standing:

The company does not enjoy a high credit standing as the creditor knows that his loan cab only be recovered from the business assets of the company. The personal property of the shareholder cannot be utilized.

Lack of personal interest:

The administration of the company is not in the hands of the shareholders. Employees who are only interested to the extent of their assigned tasks to justify their salaries run it.

The Character Restriction:

The name, capital, objective, domicile and the liability of the corporation cannot easily be changed after they have been registered.

Preparation of necessary documents:

The company must prepare a number of documents including memorandum of association, prospectus or a statement in lieu of prospectus.

Advantages of the Company

Limited Liability:
The liability of owners, who known as shareholders is limited to the amount invested in the business. Their private property is safe and cannot be utilized in the discharged of the debt of the company.

Efficiency of management:
Shareholders cannot participate in the management. The elect a board of directors who hire a team of experts, skilled and qualified, by whom company run. These competent and qualified personnel achieve efficiency of management.

Transferability of ownership:
Shares of the company can be bought and sold in the open market. This act is referred to as transferability of ownership, which does not affect the life of the company. Sole proprietorship or partnership cannot enjoy this advantage
.

Large Size:
The company has larger capital because the general public subscribes it. In a company inviting the subscription from the general public can increase capital.

Ease of expansion:
A company has an unlimited opportunity to expend its capital and operations. It can raise any amount of funds which shareholders are willing to invest. This expansion does not lead the company into liquidation.

Long Life: The company has an unlimited life. Admission, retirement insanity, bankruptcy, or death of a shareholder cannot liquidate it.

Legal Entity:
The company has a legal status. It can sue and be sued. It can enter into agreement in its own name because it has a legal existence.

BASIC LEGAL DOCUMENT ISSUED BY A COMPANY:

There are three basic legal documents of a company. There are

1- Memorandum of Association.
2- Articles of Association and
3- Prospectus.

(1) Memorandum of Association:

Memorandum of Association is the basic document of Joint Stock Company. It is known as the charter of the company. It sets out the limits outside which the company cannot go. Its main purpose is to enable shareholder, creditors and all those who deal with the company to known what is it. Permitted range of enterprise. The main clause of the memorandum of a company limited by shares has been described in sections 16-17 and 18 of the companies ordinance as under:

1. **NAME CAUSE:**

This clause state the name of the Company. A Company may select any name but it should not resemble the name of any other company it should also not contain the words like King, Queen Emperor government bodies U.N.O W.H.O etc the name should not be objection able

In the opinion of the Government. The Company's Ordinance provides that the Name of Company must end with word "Limited" so that the entire person dealing with the company must know that their liability is limited to the extent of their shares. In the case of private limited company, the words (private) limited to be used as the last word of the name.

(2) Situation clause

It is also known as domicile clause. The company is required to state the name of the province in which the office is situated. It is also necessary to give the exact address and name of the city where the company is located. This clause has the following advantage.

a) A person can known, through this clause, the jurisdiction of the court under which the company operates.
b) It also indicates the place for holding annual meeting of the company.
c) The creditors, customers government know the where about of the company.
d) All correspondence is done at the office address of the company.

3. Objective Clause

This clause is the essence of the Memorandum. It clearly defines the sphere of the company's activities. It indicates a series of objects for which the company is started. Any business activity carried outside the territories specified in the object clause of memorandum is ultra virus and void.

The objects clause, the most important part of the memorandum should be drafted very carefully. It is quite complicated to alter the object clause later on. If a public company wishes to start any new business not covered in the object clause, it has to pass a special resolution in the meeting.

The object clause offers protection to the shareholders by ensuring them that the amount collected for undertaking is not risked in any another undertaking. The creditors also protected by this clause.

4. Liability Clause:

This clause of memorandum contains a declaration that the liability of the members of the company is limited to the extent of the value of shares purchased by them in case a shareholder is to pay the unpaid calls on the shares, he can be compelled to pay up to the extent of unpaid amount on the shares and beyond that nothing more.

5. Capital Clause:

A company having a share capital shall state the total maximum amount of share capital with which it is registered. The capita! as mentioned is called Authorized o Registered capital. The capital is divided into shares of a certain value which i specified in the capital clause. For example, "The Authorized share capital of the company shall be Rs.5,000,000 consisting of 500,000 equity shares of Rs.16 each."

6. Association and subscription clause

This clause contains a declaration by subscribers (7 persons in public company and 2 in a private Ltd. Company) that they are desirous of forming a company and agree to have a number of shares written against their respective names. Each signature of subscriber is required to take at least one share each. Alteration of memorandum. Any clause in the memorandum may be altered following the conditions laid down in the companies ordinance. The procedure for each clause varies.

(2) ARTICLES OF ASSOCIATION

Meaning, An article of association is a legal document second importance to memorandum of association are the regulations or by laws which govern the internal organization and conduct of a company. In other words, it is concerned with the procedure matters in the routine conduct of the affairs of the company.

The articles of association describe the powers of the directors, other officers, and of the shareholders as to voting, etc. It also describes the mode and form in which changes in the internal regulation of the company, may from time to or association cannot go beyond the limit set by it.

CONTENTS OF ARTICLES

1. Amount of shares capital issued, transmission of shares.
2. Rights of shareholder regarding voting, dividend,
3. Rules regarding issue of shares and debentures.
4. Procedure was well as regulations in respect o:
5. Manner of transfer of shares.
6. Rules regarding appointment of directors, managing directors, agents secretaries, and treasures.
7. Number, qualification, remuneration, powers and liabilities of directors.
8. Declaration of dividends.
9. Convening and conduct of meeting with reference to notice, quorum, pool, proxy, resolutions etc.
10. Rules regarding the for feature and surrender of shares.
11. Matters relating to account and audit.
12. Rules regarding the winding up of the company.

Alteration of Articles:

According to section 28 of the company's ordinance, a company may alter or add to its articles by special resolution. The alteration made in the articles should not conflict with the memorandum.

The articles of association should be printed, dividend into paragraphs and serially numbered. All the persons who have put their signatures on the memorandum of association are required to put their signatures, names, addresses etc on the articles of association also.

(3) PROSPECTUS

After the receipt of certificate of incorporation from the Registrar of companies, the promoters of a public company invite the public and financial institutions to subscribe to the capital of the company. This notice, advertisement or other document inviting offers for the subscription to the share capital of the company is called prospectus . Only public companies can issue a prospectus. The objects of issuing prospectus are fourfold.

i) To bring to the notice of the public that a new company has been formed.
ii) To convince those who have saving to incest about the genuineness of the company and its future prospects.
iii) To keep an authenticated record of the conditions on which the capital has been raised.
iv) To secure that the directors of the company accept responsibility for the statement in the prospectus.

Contents of Prospectus

In contents, the detailed description regarding the establishment of the company, its characteristics and its estimated future is given. The important matters iflcluded in the prospectus are as follows.

1) Share Capital

Under this head, information is provided regarding:
i) Share capital of the company (a) Authorized (b) Issued, subscribed and paid up capital (c) Present issues offered for subscription.
ii) Basic of allotment of shares.
iii) Facilities available to nonresident Pakistan for purchase of shares etc.

2) Commission Brokerage and Tax exemptions:

The par contains the following information.
i) commissions to be paid to the bankers to the issue.
ii) Brokerage.
iii) Tax exemption on investment on the shares of the company.
iv) Exemption from custom duty and sales tax on plant and machinery, if any.

Prospectus Includes:

i- Brief history of company.
ii- The main objects of the company.

iii- The location of the plant.
iv- Information about project, plant and its machinery, raw material, etc.
v- Economic justification and marketability of the goods to be produced.

Financial Information

Under financial information, the following particulars are provided.
i. Auditors Report
ii Shareholder equity and liabilities.
iii Auditors certificate on share capital.
iv- Estimated cost of the project and the means of the finance.

Board of Directors

Under the head, the names, addresses, and occupation, of the board of directors is given.

Interest of Directors

This head provides information regarding:
i) Interest of directors in dividends and other benefits.
ii) Remuneration to be paid to the chief executive, directors and the secretary.
.**General Information**

The main information provided under this head are:
i) Appointment of chief executive.
ii) Election of directors. iii- Powers of directors.
iii) Powers of directors.
iv) Borrowing powers of the directors.
v) Voting rights.
vi) Transfer
vii) Quorum of general meeting.

Miscellaneous:
The main contents under this head are:

i) Place of registered office, factory.
ii) Bankers of the company.
iii) Bankers to the issue both local and foreigner.
iv) Legal advisor, consultants to the issue, etc.

Application and Allotment:

The procedure of applying for shares, their security and allotment of shares is made clear to the prospective investors in this section.

DISTINGUISH BETWEEN PUBLIC AND PRIVATE LIMITED COMPANY

The main points of distinction are as follow:

PRIVATE COMPANY	PUBLIC COMPANY
1) It requires registration and incorporation but has not to file (a) List of Directors (b) consent of directors with other documents to be filed as in public company.	1) It requires registration and in-corporation and has to file (a) List of Director and (b) consent of Directors with other documents necessarily to be filed for registration and incorporation.
2) Does not require any certificate to commence business and can start business soon after incorporation.	2) Can start business only after obtaining the certificate to commence business.
3) Can not issue a prospectus.	3) Must issue a prospectus or file a statement in lieu of prospectus.
4) Must ordinarily use “Private Limited” as the last word in the name.	4) Must use “Limited” as the last word in the name.
5) It is not required to hold the statutory meeting.	5) it must hold the statutory meeting and circulate the statutory report.
6) Annual account need not be circulated to member and need not be filed with the Registrar.	6) Accounts must be circulated and filed with the Registrar.
7) Accounts must be audited but not necessarily by an R.A. or C.A.	7) Accounts must be audited by an R.A. or C.A.
8) total membership must not exceed 50, minimum to 2.	8) No maximum limit on membership. There can be as many members as shares. Minimum is 7.
9) Transfer of shares by a shareholder is restricted.	9) Transfer of shares by a

10) It must have at least two Directors. 11) The private company is not allowed to ask the general public to subscribe to the capital of the company.	shareholders is almost completely free and unrestricted. 10) It must have at least seven directors. 11) the Public Limited Company issues a prospectus inviting the public to take up shares or debentures in the company.

WINDING UP OF A COMPANY

When a company has fulfilled the purpose for which it was set up, when it canno1 pay its creditors or when its assets are sold to another company (merger,' amalgamation, etc.) it must cease to exist. A company must undergo a legal' process to end. Its legal existence. The legal process involves the realization of assets and discharge of its liabilities. In the even of winding up the business is closed down and the assets are disposed to pay to the creditors. Further the present and past member are called upon to contribute to the assets if the company. The members contributing to the assets are called contributories. A member can be called upon to contribute to the assets of the company only to the extent of unpaid amount on his shares. The amount realized by selling the assets and collected from the contributions is distributed in the following order:

1) Cost of winding up;
2) Preferential creditors;
3) Unsecured creditors;
4) Surplus, if an, among shares holders as per their rights.

Mode of Winding Up:

The winding up of company may be either:

a) by the court; or
b) Voluntary (either members or creditors) or
c) under the supervision of the court.

Winding up by the Court:

A company may be would up by the court under the following circumstances:

(a) If the company, by special resolution, resolved that the company bq wound up by the court;
(b) If the company fails to hold the statutory meeting or to file the statutor report to the Registrar;
(c) If the company does not commence its business with in a year from its incorporation or suspends its business for a whole year;
(d) If the number of member is reduced, in the case of public company, below 7 and in the case of a private company below 2;
(e) If the company is unable to pay its debts;
(f) If the court is of the opinion that it is just and fair that the company should be wound up.

Voluntary Liquidation

A company may be would up voluntarily if the members and creditors decide to so. Under the following circumstances a company may be wound voluntarily:

(a) When the period, if any, fixed for the duration of the company by the articles has expired; or
(b) If any event has occurred —on the occurrence of which the Articles provide that the company is to be dissolved; or
(c) If the company passes a special resolution that the company be would up voluntarily.

A liquidator is appointed and an advertisement for the information of the creditors is made. The assets are disposed of, creditors are paid and residue, if any, is distributed among the shareholders. This is called ‘voluntary winding up by the members.”

Winding up under the supervision of Court:

At any time after a company has passed a special resolution for voluntary winding up, the court may make and order that the voluntary winding up shall continue, but subject to such supervision of the court as it thinks fit. The court exercises full control over the proceedings of the winding up. It may appoint a new liquidator whenever it is expedient to do so.

The Cooperative Society is the group of persons or institutions that come into existence to offer various services to its members. One who cannot benefit in his individual capacity can gain as a member of cooperative society, since it purchases in bulk quantities resulting in economies a part of which is shifted to its members. Thus the members can buy at prices less than the market.

CHARACTERISTICS:

- The society is formed on mutual cooperation.
- Every member is required to pay an annual fee.
- Societies may be registered.
- Members must pay service charges.
- It is run on no profit, no loss gain basis.
- The profit, if made, is distributed to the members.
- Societies are formed in the fields of banking, housing, farming, fishing, credit, and others.
- Registered societies must use the word “limited” following their names.

ADVANTAGES OF COOPERATIVE SOCIETIES

Following are the advantages of Cooperative Societies.

CONTINUITY

The cooperative societies enjoy a long and stable life. Like a company, it doesn’t come to an end in case its founders or member die.

LOW PRICES

Since it is operated on and no-profit no-loss basis the price of the product offered for sale are kept at a lower level than that of the market.

LOANS

Loans are offered to agriculturists to facilitate them to buy seeds, fertilizers, tractors, and hire warehouses.

HOUSE LOANS

Many cooperative societies are formed in the field of housing and advance loans to the members to build, renovate, and buy houses at a lower rate of interest than the bank.

DISADVANTAGES OF COOPERATIVE SOCIETIES

Following are the different disadvantages of Cooperative Societies.

FEE PAYMENT

The members of the society must pay a certain amount as a fee on annual basis which becomes cumbersome to them. If the society is unable to make any profit the amount of fee is un refundable.

UNLIMITED LIABILITY

Society can be run without registration under society's act 1912. In such a cases, the liability of the members becomes unlimited.

PAYMENT OF SERVICES CHARGES

Members of the society must pay service charges to finance the day-to-day expenses of the society. These charges are refunded when it earns profit.

DIFFERENCES OF OPINION

Differences of opinions in running the society may lead to its dissolution just like the partnership.

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Different authors have defined marketing variously:

- Marketing is the process by which goods and services move from the point of production to the point of consumption.
- Marketing covers all business activities necessary to affect the transfer in the ownership of goods and services to provide for their distribution.
- Marketing embraces all those activities that start with the production and ends up with the consumption.

OLD CONCEPT OF MARKETING:

The old concept of marketing was company – centered. According to which, the manufacturer or the seller produced the goods of his own choice. He would decide on design, color, shape, and functions of his own likes and preferences completely ignoring the desire of the customer. Selling was not a career job and enjoyed only secondary importance. They compromised on quality just to save cost.

MODERN CONCEPT OF MARKETING:

According to the modern concept of marketing Markets see new models innovations, inventions every year. Products are made after conducting deep market research and even after their production the study continues incessantly for improvement and further innovation. Through research the company finds itself capable to know what consumers and customers' desire, how they react to various types of products, why they accept or reject, why they switch over to other brands, when they buy, what their purchasing power is. Products are tailor – made to their exact needs and consumer – oriented.

DIFFERENT CONCEPTS OF MARKETING

The marketing concept can be divided into the following classes as suggested by marketing scientists.

THE PRODUCTION CONCEPT:

This concept is based on the belief that the customer would go for those products, which are available at the right prices. To meet this object the company should focus on controlling cost of production and distribution and increase the amount of production. The greater the amount of production the lesser will be the cost.

THE PRODUCT CONCEPT:

This concept takes into account the fact that the customer wants that product which suits his needs. He values the product designing, performance, utility, innovation, packaging and functions. So the product should be made to his entire satisfaction.

THE SELLING CONCEPT:

According to this concept customer will buy those products, which are well advertised, or of which he is well – aware hence the seller must undertake sales promotional activities to reach him.

THE MARKETING CONCEPT:

The concept maintain that the company must recognize customers satisfaction criteria before accomplishing its goals, selling concept emphasizes the sales promotion activities which marketing concept identifies a wider scope of efforts including defining marketing goals, identifying customer needs, unifying all activities affecting four - ps and making profits by creating long – term markets.

THE SOCIETAL MARKETING CONCEPT:

It suggests that provision of the goals and services by the company should result not only in the welfare of individual customer but also the society as a whole. Consistent with this concept the company should assume social responsibility by observing law, meeting public expectations, anticipating new demands and leading.

IMPORTANCE OF MARKETING

Importance of marketing has gone up extremely high. Production on commercial basis is only possible when marketing outlets have been developed, determined, or discovered. Success of Inventions and innovations is base on good marketing.

1. CREATION OF UTILITY:

Another aspect of the importance of marketing is the fact that it creates a variety of utilities that given below:

a) Place Utility: Marketing creates place utility; the goods have no or little utility at the place of production, unless shifted to the place of shortage or demand that creates place utility. Shifting of goods and services is a function of distribution channel, one of the four Ps of marketing.

b) Image Utility: Sales promotional activities create image other promotional activities are undertaken. Promotional activities one of four Ps of marketing.

c) Information Utility: Receiving and sending information is the function of marketing. Information is obtained through primary or secondary data that also very important for any business.

2. EFFECT ON BUSINESS STATUS: Marketing has a strong impact on the company, its status, organization, planning and staffing. When marketing activities become voluminous, the company divides itself into different departs such as sales, advertising, marketing research and training departments.

3. CONSUMER SATISFACTION:

Marketing plays an important role in satisfying human needs and wants. Producers and sellers bring the products on the market. Before doing so they make the product attractive and acceptable to customers so that it can best satisfy their needs.

4. SELLING:

Today, no manufacturer or seller can survive unless he possesses the knowledge of markets and marketing techniques. Selling is a part and real thrust of marketing. The whole business operations will remain incomplete unless the goods and services are offered for sale.

FUNCTIONS OF MARKETING

FUNCTIONS OF EXCHANGE:

a) Buying: By the process of marketing, buyers are able to purchase what they need. Buying involves determination of needs, selection of quality and variety, method of payment, mode of delivery and possibility of credit facility.

b) Selling: Selling refers to exchange of goods for money. By selling transfer of title to goods and services is affected. Selling involves deciding on what to sell, when and where to sell and at what price.

FUNCTION OF DISTRIBUTION:

a) Storage: The means of storage includes shops, stores and warehouses. By the process of storing we hold the goods when they are produced and dispose when they are demanded. It creates time utility.

b) Transportation: If storage creates time utility, transportation creates place utility for goods and services. By transportation we take goods and services from place of supply to the place of demand.

FACILITATING FUNCTIONS:

a) Finance: Finance is the life – blood of a business. Without money no business activity can be performed. Business needs funds which are available in usually three forms, viz. 1. Capital 2. Loans 3. Retained earnings.

b) Grading & Standardization: Grading is the specification of a quality, rank of class according to value goods product one country can be easily sold in another just by quoting grade or standard. The examples of grades are Basmati rice, Mexican wheat.

c) Information: Successful marketing requires up – to – date and maximum information about all aspect of markets, Information may be obtained from a primary or secondary source, which must be reliable. Some companies conduct their own research to get first – hand and latest knowledge.

d) Risk: Risk must be considered and studied carefully. Risk is an essential factor of every business. Before starting a new business the investor must calculate how much risk he can assume.

Retailer means to cut off a small price i.e. to sell in small quantities rather than in bulk. According to corrode. “The retailer is one who buys relatively in small quantities and sells them in still small quantities to the people”. Retailing thus includes all the activities related to the sale of goods and services for final consumption.

SERVICES OF RETAILERS:

In the chain of distribution of goods, the retailers are vital link between the wholesalers or manufacturers and the consumers. The service of retailers to the wholesale is described in brief.

A-SERVICE TO THE WHOLESALERS:

1- Retailers provide the wholesalers access to market their products to final consumers.
2- The wholesalers are relieved of selling goods in small quantity to the consumers.
3- Retailers supply valuable and reliable information to wholesalers about consumers demand for good and also the change occurring in the customer tastes fashion etc.
4- The retailers increase the sale of goods by keeping close contact with the customers. This helps the manufacturers to increase their production.

B-SERVICE TO CONSUMERS:

1- The retailers hold stocks of goods for immediate sale, to the consumers. The consumers thus are not required to keep stock of goods with themselves at homes.
2- The retailers provide consumers with a wide variety of choice goods displayed at their shop.
3- Retailers make available to their costumer goods of the sized styles types, qualities and prices they prefer.
4- Retailers supply fresh goods to the customers.
5- Retailer’s behavior with the customers is very polite and accommodating.
6- Many retailers offer free home delivery of goods purchased by their customers.
7- Retailer also supplies information and give correct advice about the product to their customers.
8- Retailers also give credit facilities to their trusted consumers.
9- Retailers are often ready to take back goods with attracts customers.
10- The retailers try to locate shops in a place which attracts customers.
11- The retailers employ properly trainee salesman. A satisfied customer is the retailer’s best advertiser.

The word wholesaler has been derived from the word ‘wholesale’ which means to sell goods in bulk in delivery large quantities. According to S.E Thomas, “A wholesaler is a trader who purchases goods in large quantities from manufactures and resells them to retailers in small quantities”. The wholesaler, thus, is one who buys goods in large quantities from manufactures and sells them in small quantities with the object of earning profit. He therefore, is neither a manufacturer nor a retailer but act as a link between the two.

Importance / Service of Wholesalers:

The importance of wholesalers in our marketing system can better be understood by investing as to how they serve the

(a) Manufacturers
(b) Retailers and
(c) The society.

These various services (also called advantages) of wholesalers are now discussed under separate heads.

A- SERVICES / ADVANTAGES TO THE PROCEDURES:

1- Concentration on production:

The wholesalers provide full opportunity to the producer to concentration on production activities. The producer need not have sale organization. The supply of goods in small quantities is taken over by the wholesalers.

2- Facilitates large scale production:

The wholesalers buy goods in large quantities from the producer. This facilitates the producer to produce goods in large quantities and avail of the economics of large scale production.

3- Information about consumer Behaviuor:

The wholesales provide valuable information to the producer about the consumer’s behavior to the goods in the market, the changes in tastes and fashions and also the latest demands of the consumers.

4- Regulation of production:

The wholesalers normally place orders for the purchase of goods well in advance to the producers of goods. This helps the producer to plan and regulate their production as to how much and of which quality, the goods are to be produced.

5- Relieving producers from keeping stocks:

The wholesalers are normally make forward dealing about the supply goods with the producers. The producers are thus relieved of keeping the stocks and also the worry of sale of goods.

6- **Financial assistance:**
The wholesalers may take advance payments to the producer for the purchase of goods. They also provide soft term (at low rate of interest) loan to the producer.

B: SERVICES TO RETAILERS:

The wholesalers render the following service, to the retailers.

1- **Relief from keeping huge stocks:**
The retailers can buy good in small quantities from the wholesalers. They are thus saved of keeping large stocks with themselves.

2- **Financial help:**
The wholesaler provides financial assistance to the retailers by selling goods in the market.

3- **Not affected by price fluctuations:**
The retailers buy goods in small quantity from the wholesalers. They are therefore, not affected by price fluctuations of goods in the market.

4- **Provision of information:**
The wholesalers provide full information to retailers regarding the type, quality and price of goods.

5- **Information about new products:**
The wholesalers provide full information to the retailers about the new products salesman or price lists etc.

6- **Transportation Facilities:**
The wholesalers help retailers to take advantage of transporting goods from the wholesalers go down to retailers shop.

7- **Trade discount:**
The wholesalers provide the benefit of specialization to retailers.

C- SERVICE TO THE SOCIETY:

1- **Available of goods to the consumers:**
Wholesalers make available the goods to the consumers according to their needs, tastes, demands fashions etc.

2- **Stability in price:**
The wholesalers maintain stability of price of goods by adjusting demand and supply.

3- Low price:

The consumers get goods at low price list.

4- Knowledge of new products:

Wholesalers provide knowledge of new goods to the consumers

IMPORTANCE OF MIDDLEMAN IN COMMERCIAL ACTIVITIES:

Under the modern system of large scale of production and distribution, the middleman plays an important role in the distribution of goods and become all the more inevitable along with the growing complexities of production. Whenever any new scheme or line of production is taken up, the manufacturer will not like to carry on his production on a large scale, but he will also have a start ahead of demand, so that the commodities when finished will have to create a demand thereof. So, the modern manufacturer will have to take different risks and hardly left any time to look after aspects of production and distribution, therefore, they have some people specialized in different aspects of production and distribution.

Thus the entrepreneurs require the assistance of specialized people like brokers, agents, wholesalers, distributors, retailers etc.

The success of any industrial activity these days depends on the joint efforts of the producers and all these types of specialized middleman. The middleman, occupy such an important position in the modern marketing system, that any producer can hardly carry on business without them.

It is through the middleman that the producers get a regular supply of their raw materials, labor and also capital in times, of need. They relieve the producers of their function about the distribution of their products. By making arrangements for distribution of the commodities over a wide market, they serve practically every part of the world wherever the products are wanted.

INTRODUCTION:

By advertising the good and services are introduced to general public, customers, and consumers. Through it a message is given about the brands, price, quality and features of a product. Customers become well aware of competitive brands and able to choose the best one from among the variety available. The definition and scope of advertising excludes sales promotion that involves distribution of free samples and offering of bonuses. Advertising is different from personal selling activities because it is non – personal selling. It is also different than publicity which is not paid for.

DEFINITION:

"Advertising is a paid form of non – personal presentation of goods and services to a group of persons by an identified sponsor"

MEDIA OF ADVERTISING

Advertising media can be divided into two classes:

1. Print Media 2. Electronic Media

1. PRINT MEDIA:

Printed media include newspapers, magazines and journals, pamphlets, billboards, skywriting etc. their details are as follows:

a) Newspaper: Newspaper is issued daily or weekly and provides latest news and information to the general public. They are good and effective means of making the goods and services known to the prospective consumers.

b) Magazines: Their impact also is limited to only some cities rural areas cannot be reached because of low literacy rate over there. Immediate advertising in magazine is not possible because its frequency is monthly or even greater period.

c) Pamphlets: It is a cheap means of advertising, it has limited effect and restricted to limited geographical areas because of its limited geographic distribution.

d) Bill Boards/ Hoarding: They are installed along important and busy roads. They are used to attract the attention of the automobile traveler's passengers.

e) Sky – Writing: Airplanes are used to write the message by their smokes high on the air / atmosphere. Before restoring to this method a previous announcement to this effect is necessary. This method is costly and shortly – lived.

2. ELECTRONIC MEDIA:

a) Radio: Radio is an audio medium. It is also known as radio commercial. Ads can be broadcast nationwide, province – wide or citywide. Advertisement can be announced at once or can be changed or stopped at a short notice.

b) Television: Television advertising is a visual medium. It is very effective but costly. It brings quick results. It doesn't require education or literacy. It has different rates for different timings. Advertising during prime time and famous programs are the costliest.

c) Cinema Slide: It is a type of video media goods and services are advertised on the slide during the playing of the film. It has limited geographical result and is very short – lived. Its main advantage is its low cost.

d) Internet: It is the most modern communication technique of advertising and works through the personal computer. It can send information across any part of the world in seconds at a cost.

PURPOSE OF ADVERTISING

1. Advertising helps the company introduce new products.
2. Companies provide necessary information about the product.
3. Advertising helps salesmen sell their goods and services.
4. Shopkeepers are encouraged to deal in the advertised products.
5. It helps make decision to buy.
6. Future generation get aware of the products.
7. It reminds people to purchase.
8. Demand is created resulting in the increase of production.
9. Increase in production decreases the unitary cost of production.
10. The consumer is invited to change over to the product advertised.
11. It reminds the consumer not to forget particular brands.
12. The trader is motivated and encouraged to deal in advertised brands.
13. Advertising offers immediate result in the form of increased sales.
14. It is also meant to establish brand and company goodwill.

KINDS OF ADVERTISING

Advertising is not only undertaken for the present consumers but it is also meant for future consumers, users or customers. For example: ads on safety razors, cigarettes are carried out not only for the present generation but also for youths who are future consumers.

Institutional Advertising:

Its objective is to improve or enhance the image of the company. Once the image of the company is established it's all products on the line become popular and to sell.

Comparative Advertising:

This type is carried out to establish the benefits of the advertised product in comparison with that of the competitor. Comparisons are made in respect of price, quality, service, durability etc.

Advertorial Advertising:

Its purpose is to preach the company's social services and its stance on social and cultural Issues. This type of advertising may be carried out in editorials, articles, news items etc. In a way it is a piece of publicity of the company.

Product Advertising:

It is the most popular type of advertising. It is undertaken to popularize a brand of the product of the advertiser company. It discovers the benefits in terms of price, quality or some other aspects.

Pioneer Advertising:

Its objective is to develop primary demand for the product in general instead of a particular brand. It is adopted in case of a new invention. For instance, the government may ask the public to use gas rather than petrol in their cars. Such effort through the mass media will produce pioneer advertising. Ads on computers, Internet, e – mail, fall under this category because these information techniques are in early stages of development in Pakistan.

SELLING

VALUABLE PROCEDURE OF SELLING:

Different sellers may follow different procedure in the execution of the order. However, a typical procedure is as follows:

1. **Receiving and inviting enquiries:**

The sales department receives inquiries from the prospective buyers or customers. The inquiries may be solicited, unsolicited, i.e. in response to sales letter or advertisements. The enquiry is made about price, brands, quality, variety, size, delivery, discount, and credit, and the like.

2. **Sending Quotations:**

After receiving enquiry the seller sends the reply answering all queries and enquiries. Prices are quoted stating various types of discount and allowances to be allowed to the enquirer, quotations are infect terms of sale.

3.Haggling:

It refers to bargaining between the buyer and the seller making offers and counter offers on the prices of the product in question and other related matters.

4. Receiving orders:

If the terms of sales are accepted the prospective buyer places the order with the seller. The seller receives the order containing name of the product, brand quantity, description, price, delivery date etc.

5. Acknowledgement of receiving order:

When the seller receives the order he informs the buyer acknowledging IT receipt and assures that the order will be executed to his entire satisfactions and mutually agreed conditions.

6. Reviewing the order:
The seller carefully evaluates the order for any inaccuracy, anomaly, and confusion and seeks their correction.
7. Arranging for supplies:
If the ordered goods are not available ex stock the seller will either start manufacturing or made arrangements to buy from the market for reselling.

1. Bought and sold notes:
If the enquiry, quotation, and order are not received by post i.e. not in the form of correspondence and rather the buyer and the seller strike the transaction orally, both are parties either make note of the details in a memo or keep it in mind. Most of the local transactions are struck orally. In each a case the only written document that is prepared is the invoice. Written enquiry, quotation, and order only take place through correspondence only. However, whether the transaction is in writing or oral invoice (a written document) must be issued).
BOUGHT NOTE: it is a note issued by the buyer mentioning terms of purchase made orally.
SOLD NOTE: it is sent by the seller showing terms of sales settled orally.

2. **Approval of credit**:
When the sale is on credit, the order is sent to the credit department for the approval of credit. The credit is granted only under certain conditions to favorite customers.

3. Preparation of invoice:
When the ordered goods have been arranged for, the invoice department prepares invoice in the name of the buyer stating the product, brand, quality, variety, model, or grade, and mode of packing and the marketing.

4. Packaging and dispatching:
Packaging involves all the activities necessary for producing and shaping the containers or wrappers for the product to be sold. Packaging makes it easy to handle, move, load, unload, and protect the product. Having completed all the above steps the shipment is handed over to the Transportation Company or railways for the dispatch to the buyer. Time to everything concerning production and distribution

Purchase is the process through which a person gets some goods or properties transferred in his name from another on payment of money; it also includes availing of service by one from another for money.

MODES OF PURCHASE:

There are different modes that may be adopted while purchasing goods. Goods may be purchased either by inspecting them personally, or on the basis of description or brand name of product.

PURCHASE BY INSPECTION:

Suppose a person want to buy a shirt or a pen or some vegetables. He will possibly go to the nearest shop and check himself the goods before buying them. This is the most common method of buying known as purchasing by inspection where buyer goes to the seller and inspects any particular goods planned to be purchased. It is used in case of retail buying.

PURCHASE BY SAMPLE:

When a person want to buy in bulk, it is not possible to inspect the whole lot to be purchased. Therefore the buyer looks at the sample of pattern and then decides which one to buy. A sample is a spaceman of goods, particularly of raw materials, food stuff etc. It is a representative of the bulk. Its quality largely reflects the quantity of wholesale lot similarly, pattern is a specimen of standard manufactured goods, such as cloth, coir mattresses etc. It reveals the shade, texture and sometimes bears a code number. It is agreed upon by both parties that the bulk supply shall be of the same quantity as the sample/pattern shown.

PURCHASE BY DESCRIPTION OR BRAND:

In certain cases it is not possible for a seller to even show a sample to prospective buyer. For example, a manufacture of furniture can not move around showing samples to the intending buyer, so he carry a catalogue and price list that contain the description of goods offered for sale. Sometimes goods are standard products having specify quality and price etc, they are often given a number or a name. Sometime the name becomes quite popular as brands like surf, pepsodent etc. Here the buyer just needs to mention the brand name or the product described while giving the order.

Every country has different policy about export the goods but adopt similar procedure for with minor differences. Accordance with the rules laid down by the government of Pakistan the procedure followed in exporting goods is as under.

1. **Receiving inquiry**

First of all the exporter receives trade inquires about the goods that the importer wants to buy. Such inquiries are made about type of product, size, quality, grade, brand, price, delivery mode, schedule, mode or types of packing, method of payment, port of delivery. The export will up a perform (an invoice) giving all above details.

2. **Receiving indent (order)**

Having agreed to the price, quality, amount, and mode of delivery the exporter will receive the indent from the importer. The order contains the details as the name of the product, brands, quality, price, size, grade, packing, port of delivery, mode of payment, and other instruction.

3. **Obtaining Letter Of Credit (L/C**)

The bank in favor of the exporter issues letter of credit. An L/C is an undertaking or a guarantee by the importer's bank that the bill of exchange drawn by the exporter will be accepted on presentation. The letter of credits so issued is usually irrevocable making the position of the exporter safer and bringing the risk of nonpayment to zero.

4. **Determine Of Export Quota**

When the goods being exported are short the government fixes export quota for such items. Therefore, for such products, the export quota fixed and sectioned.

5. **Obtaining Export License**

Export license must be obtained before exporting goods especially raw materials and agriculture produces. The export license may be of the following categories. Quota license, open general license, limited free license, free license newcomer's license.

6. **Compliance Of Foreign Exchange Rules**

The exporter will have to file a declaration under the foreign exchange regulation act's that he will surrender to the state bank of Pakistan all the foreign exchange earned through the transaction in question.

7. **Fixation Of Foreign Exchange Rate**

The exchange rate in the open market continues changing day to day. Therefore the moment the export transaction made prevailing rate at that time will be determined for the purpose of payment by the importer.

8. **Arranging For Goods**

If the exporter himself a producer he will start producer production, otherwise he will buy all the goods from the open market according to the sample agreed upon.

9. **Packing and Marketing**

The mode of packing is according with the agreement with the importer. After packing, marketing comes. The container of package bears certain marks so that it can be identified from other goods such as name of the product and brand, quality or number, or weight & any particular number.

10.Appointment of Forwarding Agent

In case of export forwarding agent is appointed. The forwarding agents perform all functions starting from marketing the container to loading abroad the ship.

11.Obtaining Shipping Order

The exporter has to hire the services of a shipping company for getting a space in ship. Freight charged is on the bases of volume and not to weight if the consignment is big the entire ship is chartered. Such an agreement is known as chartered party agreement

12.Preparing Invoice

After receiving the shipping order the exporter prepare the invoice stating price, quantity, quality, mode of packing, port of destination, name of the ship, etc.

13.Obtaining Custom Permit

Custom permit is issued by the custom authorities to the exporter after determining whether or not the goods are dutiable and if they are, whether the duty has been paid.

14.Insurance Of Goods

Goods being exported must be insured by an insurance company, the process insures that the goods will reach their destiny safely.

15.Obtaining Certificate Of Origin

If the goods being exported are locally produced or originated the exporter must prove it. The certificate of origin fulfills this objective.

16.Loading The Goods On Board The Ship

At this stage consignment is sent or board the ship of the shipping company with which the exporter entered in to agreement. The mate service receives the consignment and compares it with the documents handed over to him.

17.Issuance Of Bill Lading

Bill of lading is issued by the shipping company and is signed by the captain and masters of the mercantile ship. It contents name of the ship, port of export, port of import, date of dispatch, importer’s name and address & name and Address of the shipping company.

18.Drawing Accepting And Discounting Bill Of Exchange

Exporter’s draw’s a bill of exchange on the importer. It is an unconditional order in writing drawn on the debtor asking him to make the payment in a specified period of time to the person mentioned there in or his order.

DOCUMENTS USED IN EXPORTING THE GOODS

1. Indent
2. Letter of credit (L/C)
3. Bill of exchange (B/E)
4. Bill of lading
5. Shipping order
6. Performa invoice
7. Insurance receipt
8. Dock receipt
9. Mate receipt
10. Export invoice
11. Consular invoice
12. Certificate of origin
13. Shipping bill

In import of a good from a foreign country the following steps are taken:

1. **Trade Inquiries**

First importers carry out correspondence with the exporter shipping him to send the details about price, quality, time and mode of delivery, shipping agency etc.

2. **Registration**

Import trade is subject to several restrictions by the government. First the importer has to get himself registered with the chief controller of imports and export. To get a registration, the importer has to submit the following documents: National I.D card or passport, income tax certificate, certificate of membership of the chamber of commerce etc.

3. **Obtaining an Import License**

No goods can be imported in a country without a valid license. After getting registered with the controller of imports and exports, the importer has to apply for obtaining license for the goods.

4. **Determination of Import Quota**

Import trade is subject to several restrictions one of them is determination of import quota. It means how much goods he can import from foreign country.

.**Application of Foreign Exchange**

To import any goods from foreign country need foreign exchange. Importer submits an application to the authorities for foreign exchange.

5. **Placing The Order**

After these steps the importer places an order for the goods that he requires. The order is called indent.

6. **Letter Of Credit**

Now the importer will contact his banker along with the import license, perform invoice and insurance cover note in order to open letter of credit (L/C) in favor of the supplier (exporter) at this stage a license fees has to be paid. The L/C on the prescribed from shows the license number, name of the supplier, name of the insurance company, details of the goods being imported, mode of shipment & delivery, mode of payment etc.

7. **Getting Necessary Document**
   - Advice Note

   It is document, which is sent to the importer to inform that goods have been sent.
   - Bill of Exchange

   The exporter makes out of a bill of exchange in the name of importer and does the bank of the importer accept it. Then he receives the advice of the L/C and hands over to it the shipping documents which include invoice, certificate of origin, certificate of measurement and weight, bill of lading, mate the receipt.

8. **Insurance Cover**

The importers gets insurance cover note from a local insurance company for the value of goods being imported to cover risk of theft, pilferage, fire, short deliveries and ship mishaps etc.

9. **Clearing Agent**

The importers hands over these documents to the clearing agent. These documents include VBF form 6-A or 6-B on the receipts of which, the clearing agent starts his proceeding to clear the goods which may have reached the port.

10. **Custom Formalities**
    - **Inspection of the Goods**

    On reaching of the goods on the port, the authorities inspect the goods to determine whether they are n conformity with the invoice are not.
    - **Payment Of Duck Charges**

    On reaching of the goods on the port, dock charges are paid to use the port.

    - **Payment Of Custom Duty & Sales Tax**

    Then the amount of the custom duty, sales tax, iqra tax etc, will be worked out and imposed.
    - **Bill OF Entry**

    After obtaining the delivery order, the importer fills three copies of bill of entry in which he stated and describes the goods that are imported. It is delivering to the custom authorities.
    - **Bill Of Sight**

    Sometimes the importer may not receive full particulars of goods imported. In such cases, he fills bill of sight.

    After paying the government dues, the goods will released and handed over to the importer.

11.<u>Payment of the Bill</u>

The importer pays the amount of the bill exchange to his banker and then receives all documents shipped from the exporting country.

DOCUMENTS USED IN IMPORTING THE GOODS

1. Import license
2. Performa invoice
3. Insurance cover note
4. Letters of credit
5. Bill of exchange
6. Certificate of origin
7. Certificate of measurement and weight
8. Bill of lading
9. Mate receipt
10. Packing list
11. VBF form 6-A or 6-B
12. Registration certificate as importer
13. Certificate from the chambers of commerce
14. Income tax certificate showing GIR

DEFINITION:

Insurance is a legal contract that protects people from the financial costs that result loss of life, loss of health, lawsuits, goods or property damage.

Insurance provides a means for individuals and societies to cope up with some of the risks faced in everyday life. People purchased contracts of insurance called policies from a variety, of insurance companies.

TYPES OF RISKS:

Insurance distinguish between two types of risks.

SPECULATIVE RISK:

It offers both the potential for gain and the potential for loss. People who invest the sock of companies for example, take speculative risk. An increase in stock prices procedures a gain, why a decline in stock prices produce a loss.

PURE RISK:

Pure risk does not necessarily result in loses, they never result in gains. Historically, insurance dealt only with pure risk and most people still buy insurance to cover pure risks. No one, for instance, experience a gain when they go a full year without an auto accident. However, same insurance companies now help business finance large losses including those incurred on speculative risks, such as the international exchange of currency.

Kinds of Insurance:

They are the Kinds of Insurance

LIFE INSURANCE:

Life insurance is a financial resource for loved ones in the event of person's death. When a person enters into a contract with an insurance company that promises to provide a certain amount of money upon his death is called life insurance. In return (that person) makes periodic payment, known as premiums. The size of premiums is generally based on factors such as age, gender, medical history and the amount of life insurance a person select. While there are many types of life insurance policies, they generally fall into two categories-term and permanent.

TERM INSURANCE:

Term insurance is the simplest form of life insurance. It provides financial protection for a specific time, usually one to thirty years. These policies are relatively inexpensive and are well suited for goals. Such as insurance protection during the child raising years or while paying off a mortgage. They provide a death benefit, but do not offer cash saving.

PERMANENT TERM INSURANCE:

Purchasing permanent insurance is like buying home instead of renting. Permanent insurance provide long term financial protection. These policies include both a death benefit and in some cases cash savings. This type of insurance is good for long range financial goals.

HEALTH INSURANCE:

A health insurance provides a sense of security that if a person becomes ill or need an operation he can get treatment promptly without getting worried about the rising cost of medical care.

The current health insurance system is quite complex and constantly changing.

BUSINESS INSURANCE:

The success of business, whether it is tiny enterprise or a large corporation, it is largely independent on hard work and ingenuity. However, no matter how industrious a person is, one disaster can wipe-out all profits and even destroy business. The key to make sure that all the efforts and money invested in a business will not disappear if a disaster strikes is called business insurance.

COMMERCIAL AUTO / TRUCK INSURANCE:

Auto / Truck insurance protects against the financial loss if a person have an accident. It is a contract between an insurance company and an individual (employee) to play losses as defined in policy.

DISABILITY INSURANCE:

Disability insurance is a type of health insurance that pay's a monthly income to a policy holder who is unable to work because of an accident or illness during the employment.

LONG TERM CARE INSURANCE:

It is a protection for employees and their families associated with the cost of qualified long-term care service. It involves variety of serviced aimed at helping people with chronic conditions compensate for limitations in their ability to function independently.

HOME OWNERS INSURANCE:

Home insurance provides financial protection against disasters. A standard home owners insurance includes for essential types of coverage.

- Coverage the structure of home.
- Coverage for the personal belongings.
- Liability protection.
- Additional cost of living away from home if can not live there de to damage from fire, storm or other insured disasters.

OTHER TYPES OF INSURANCE:

Other types of insurance are:

- Travel insurance
- Landlord contents and building insurance
- Marine insurance
- Sport insurance
- Mortgages insurance

THE IMPORTANCE / ADVANTAGES OF INSURANCE:

Insurance are not only benefit society but it also serves many other important economic and social functions.

- Insurance allow individual to share the risk faced by many people.
- The increased availability of credit helps people buy homes and cars.
- It provides capital that communities need to quickly rebuild and recover economically from natural disasters, such as tornadoes or hurricanes.
- It helps employers in buying insurance to cover their employees against work related injuries and health problems.
- Because it makes business operation safer, insurance encourages businesses to make economic transactions, which benefits the economics of countries.
- Insurance company invest their funds to brings in extra revenues, such investment help businesses and government to finance their operations.

The function of storage is performed through housing or storing the products properly. The place where the goods are stored in known as a 'warehouse'. The term 'ware' means 'article' or merchandise collectively and warehouse is a building or room for storing goods. Thus storage is one of the physical distribution functions of marketing and warehouse is the tool with which this function is performed. Storage is marketing activity whereas warehousing embraces storage and helps other marketing functions such as assembling, grading and transportation. In common parlance warehouse mean god owns.

Advantages of Warehousing:

They serve to safeguard the stocks of the merchant who has only very limited space at his trading place;
They make provision for the unloading of incoming articles in bulk the warehouses afford a resting place for these goods until they are moved to shops in small lots. Hence, warehouses reduce distribution costs;
If the traders have a warehouse in closing proximity to the selling area, customers are served most economically and at lower expense.
Some kinds of warehouse indirectly offer even financial assistance, e.g., bonded warehouse;
Warehousing offers judicious movement of goods which will stabilize prices;
The warehousing facilities help in determining the channel of distribution. A manufacturer, for example, will prefer to have wholesaler or retailer who has his own warehouse;
Warehouses assist in maintaining continues sales. This avoids "out of stock" conditions, and there by increases the sales volume.

Kinds of warehouses:

Broadly, the different kinds of warehouses can be divided into three groups on the basis of place of necessity, ownership, and special provisions. Generally, there are three classes of warehouse:

1- Bonded warehouses;
2- Public warehouses; and
3- Private warehouses,
4-

Bonded Warehouses:

These warehouses are located near ports. They enable the unloading of commodities from a ship safety into a place until the owner of the goods takes delivery of them. Such warehouses are also necessary for outward transportation, since a manufacture cannot wait until a ship reaches a port of loading. In such cases the commodities are handed over to the warehouse authorities who will keep them until the ship arrives at the port. The services of a bonded warehouse are utilized preferably by exporters and importers. The goods deposited with a warehouse are said to be in bond

Private warehouses:

A firm or a manufacturer or a trader who operates a warehouse exclusively for his own purpose is called a private warehouse. In plant warehouses and field warehouses in most cases are private warehouses. These warehouses are profitable only when the volume of stock to be stored is high. Otherwise it will increases the prices of products since the managements of warehouses involves huge expenditure.

Public Warehouses.

The best known and the most widely accepted services are offered by public warehouses. Products can be stock piled in appropriate physical condition and in strategic locations under the seller wishes to distribute them to consumers. Public warehouses offer storage and handling facilities to any interested individual or company. The bonded warehouse in that sense is a public warehouse. The users will, however, have to pay rental charges calculated on the basis of area occupied, period used, special nature; of the commodity, etc. Because of this, these warehouses are also known as duty paid warehouses.

Good transportation system is important to all societies for the movement of people raw material and goods. The more developed an economy, the more extensive its transport network, while poor transportation is both a cause and consequence of underdevelopment.

MODES OF TRANSPORTATION:

5- Road transport
6- Railways
7- Water transport
8- Air transport
9- ROAD TRANSPORT
10-
11- It is a dominant form of transport in the world. Approximately half of all passenger journeys in any country are taken by road.
12- Road are used by various forms of transportation such as trucks, automobiles, busses, motorcycles and bicycles.

ADVANTAGES OF ROAD TRANSPORT:

HIGHLY FLEXIBLE: Roads can be used to transport many varieties of people and can go to almost anywhere on a connected landmass.

POINT TO POINT: cars, trucks, taxi etc, door to door services (from a person's to garage at work).

SAFE & CHEAPEST FORM: Road transportation is the safe and cheapest way to travel a short distance as compare to other modes of transportation.

EMERGENCY SERVICE: Fire department, medical services and other government agencies depend on an organized system of roads to provide emergency services to the public in time of need.

SIMPLE TO ADMINISTRATE: Road transport operates on (mostly) static routes and schedules that can be centrally planned qualified people. The system does not require a lot of skilled labor.

AN INTERNAL PART OF THE ECONOMY:car manufacturing and road construction are major economic sectors, creating large number of jobs in their sectors and many others sectors.

DISADVANTAGES OF ROAD TRANSPORT:

POLLUTION: the pollution generated by trucks, busses, cars, rickshaws is currently thought to be a major contributor to lung diseases.

HIGH MAINTENANCE COST: Repair cost for roads are quite high. In northern climate removal is a major task.

NOISE & POOR AESTHETICS: Roads are noisy and scan the landscape.

OTHER DISADVANTAGES ARE:

13- High rate of accidents
14- Traffic congestions
15- Poor reliability.

RAILWAYS

Railways have developed dramatically in recent years, especially the use of high speed passenger trains. Rail based transportation system is mostly used in transporting heavy goods, through the construction of rail infrastructure is highly capital intensive, the operating expenses are lower than road based transportation.

ADVANTAGES OF RAILWAYS:

SPEED: Rail has large capacity and a higher average operating speed over large distance.

EXCELLENT AT HANDLING PULSE DEMAND: when a large demand is suddenly placed the system, the large capacity vehicles are quite efficient at handling the demand.

COMPTITIVENESS OVER LONG JOURNEY: Railway is only the convenient and economical means of transporting high bulk good to distance places.

COMFORTABLE AND SAFE: Railway travel is comparatively comfortable and safe.

DISADVANTAGES OF RAILWAYS:

HIGH START-UP COST: the cost to get even a small of rail system up and running is very high. This is because the high cost of the heavy duty dedicated infrastructure requires to support train.

COSTLY TO RUN: operations and maintenance cost of railway track are quite high.

STATIC TO ROUTES: Rail linkages are only developed between main towns and timetable structure also limit the flexibility of the service.

HIGH COST OF RANSFERRING GOODS: it involves much time and cost in booking and taking delivery of goods through railways. Thus perishable goods are not conveniently transported through railways.

WATER TRANSPORT

Both the sea and inland waterways (rivers, canals etc) are used for transportation. Goods transported from one place to another through waterways. Foreign trade is largely done through sea routes or waterways. The river navigation is also important in the internal part of the country.

ADVANTAGES OF WATER TRANSPORT:

LOW COST FOR TRANSFERRING GOODS: the obvious advantage of water transport is that it allows the movement of bulky goods over a long distance at a least.

CHEAPEST TRANSPORT: it is the cheapest means of transport. Water transport does not require construction of routes and maintenance cost as seas have natural routes.

WIDER SPACE: The capacity of goods transportation is much more as compare to rail and road transport the ships provide wide space to place goods.

IMPORT & EXPORT: Foreign trade is largely depend on water transport as it the most economical ways to transport bulk cargoes.

DISADVANTAGES OF WATER TRANSPORT:

RESTRICTION: water transport is restricted to ports and inland water ways.
SLOW TRAVEL SPEED: Speed of transportation is very slow in waterways, thus goods cannot be transported quickly.
INCREASED TRANSFER COST: The goods are not transported to the place of business therefore the cost of transferring goods increased. Waterways are a half way transports services.

AIR TRANSPORT

Air is the fastest method for moving goods and people. It is mostly used for passenger travel but in recent years there has been a dramatic growth in the global air cargo business. It has doubled every ten years since nineteen seventy.

ADVANTAGES OF AIR TRANSPORT:

EXCLUDED ROUTES: air transport does not need any extensive route construction as with road or rail transport, the routes are natural, similar to waterways.
TIME SAVING TRANSPORT: This transport is ideal for fragile, perishable time sensitive shipments, and personal meetings. It is the quickest of all means of transportation.
CONGESTON-FREE TRANSPORT: Air transportation covers large distance in shorter time. It is the fast, twenty four hour clearance traffic congestion-free transport.

DISADVANTAGES OF AIR TRANSPORT:

MOST EXPENSIVE: it is comparatively expensive and door to door service is not usually included.
UNCERTAINTY: Ground handling delays mechanical difficulties and bad weather may cause uncertainty in travelling.
EXCLUDE VARIETY OF GOODS: Only less bulky products and high priced commodities could be transported airways.

Qno.1 What is Chamber of Commerce?

CHAMBER OF COMMERCE

- Chamber of commerce and industry is a voluntary non-trading association of persons who are directly or indirectly connected with commerce and industry.
- Its purpose is to promote trade and business and protect the business interest of its members.
- Thus, only the businessmen, industrialists, bankers and professional men like accountants, auditors are entitled to be members of the Chamber of Commerce.
- The Chamber of Commerce is organized on regional basis.
- The businessmen of a particular area form such organization e.g. Karachi Chamber of Commerce, Lahore Chamber of Commerce, Peshawar Chamber of Commerce.

Qno.2 Explain the functions of the Chamber of Commerce?

Functions of Chamber of Commerce

- It helps to develop trade and industry of a country and looks after and protects their interest.
- It collects all sorts of information concerning commerce and industry and maintains numerous records which are necessary in connection therein.
- It issues reports and Journals at regular intervals full of information regarding commerce and industry for its own members as well as for the general public.
- Advisory services on labor practices and disputes are provided.
- It helps the members in recovering debts.
- It provides trade reference information about financial status of its members.
- It protects trademarks and patterns and thereby encourages the cause of national commerce and industry.
- It acts as arbitrator in case there is any dispute between businessmen.
- It helps the exporters and importers by furnishing information of various natures in connection with import and export.
- It issues export certificate and certificates of origin which are very common instruments in international commerce.
- It advances commercial and technical education in the country.

- Nowadays, an active part is played by the Chamber in influencing economic policy of the government. It examines the budget every year and suggests appropriated modification in the tax proposals.
- It invites the attention of the government and public on matters affecting trade, commerce and industry of the country.

-----------------X-----------------------------X------------------------------X----------------------

A business letter has the following parts:

1- Heading
2- Inside address
3- Salutation
4- Body / Text
5- Complimentary close
6- Post script, initial of the typist, carbon copies, etc..

Heading: Every business letter must have a printed heading. Most of the companies have a printed letter- head on which they write letters. The heading carries the following details:

16- Name of the company (the sender)
17- Address of that company.
18- A little description or introduction of the business of the company.
19- Telephone, telex, cables and fax number.
20- Date of the letter.

Inside address:

Inside address has its place on the left below the heading. It has the following details.

1- Name of the receiver.
2- His designation
3- Department's name
4- Name of the company
5- Its address.

Inside address facilitates the right person and right department to where the letter is meant, especially in a large sized company.

Salutation:

It is a third important part of the letter. It is words of greeting. It must include the word 'dear' followed by the name of the addressee. If the name is unknown, the designation or sir, or madam my be used. The following are the specimens of salutation.

Dear Mr. Ahmed
Dear Miss Salma
Dear sir
Dear Manager

after salutation, a comma, colon, or no punctuation is used.

Body / Text:

The text of the business letter follows salutation. It is the main part of the letter in which the message is delivered. It is a core part without which letter has no meaning. The text must be complete, to the point, and clearly meaningful. Long messages should be avoided.

Complementary:

It is placed on the second line below the last line of the text. The close closing should coincide with the level of formality in the salutation The following standard closing are listed in order of increasing formality.

Regards	sincerely yours
Best wishes	yours truly
Cordially	yours respectfully
Sincerely	cordially yours

On the fourth line complimentary words name of the sender is written. Signature is written on the space between the complimentary words and the name. Below the name is written designation. The following is the specimen of complimentary close.

Yours truly,
-sd-
M.A. Ahmed
Manager

Typists initial:
Two lines below the complimentary close follows the typists and sender's initials.
RS:PB
RS stands for Raees Sheikh who is the sender, and PB stand for Peer Bux who is the typist.

Special part of the business letters:

Attention line;

Attention line focuses on a particular person to whom the letter should reach. It is written between inside address and salutation.

Subject Line:

To facilitate the reader to immediately know the topic of the letter a subject line is given below attention line, and between inside address and salutation. Subject line may also follow the salutation.

KINDS OF BUSINESS LETTERS:

Business letters may be classified as follows.

1- Sales letters
2- Inquiry letters
3- Order letters
4- Reminders
5- Claim or complaint letters
6- Announcement letters (circular)
7- Letters of applications (job letters)
8- Official letters

1- Sales Letters:

These letters are written to prospective customers introducing the company goods and services. The company tries to convince and persuade the customer that the product will yield maximum benefit and satisfaction for the money he spends on it. In the letter, quality, price, durability, status, guarantee, easy accessibility and availability, spare parts, and the like are taken up as motivating factors.

Sales letters are of two types:

1. Unsolicited sales letters
2. Solicited sales letters

2- Inquiry letters:

Business requires different types of information about products, candidates for the job, and status character of credit customers and borrowers. As such inquiry letters may be classified as follows:

i- Inquiry about products
ii- Inquiry of candidates for the job
iii- Inquiry about the status of credit customers or borrowers

3- Indent / order letters:

Through such letters the company sends its order for buying merchandise or other goods and services. They contain such information as name of the product, price, quality, quantity, brand, and mode of delivery, packing, and the like. These letters are written following inquiry letters.

4- Reminders:

There are times when business fail to send the ordered goods, make payments, or answer an inquiry on time, in such a case, it is sent letters known as reminders or dunning letters. Sometimes more than one letters are sent

.

5- Claim or Complaint letters:

A complaint arises when goods are not in accordance with the sales agreement, delivery is delayed, due payment has not been made or an enquiry has not been answered.

On the ground of a complaint a remedy is sought reffered to as a claim. The aggrieved party may suggest one or more of the following remedies.

1- Refund of money
2- Repairs free of charge
3- Replacements of goods
4- A new shipment of the right product
5- Concession on the invoice amount
6- Correction on the bill or invoice

6-Announcement letters (circular):

They carry a common message to various and sundry parties. The message of common interest to all receivers of the circular may include the following:

i- The establishment or invitation of a new business.
ii- Opening of a new branch.
iii- Change in address or premises.
iv- Introduction of a new commodity, product, or service.
v- Admission of a new partner or director.
vi- Retirement of a partner or director.
vii- Appointment or removal of an agent.
viii- Amalgamation or merger of businesses.
ix- Reduction or increase in price.
x- Power of procurement given.
xi- Death of a partner, director, or key manager.

7- **Letters of applications (job letters):**

Job letters are written by candidate to the prospective employers. Through them he offers his services mentioning his education, experience, age, potentials, and other bio data.

The language of the application should be pain, original, and convincing and avoid trite terms and phrases and jargons.

1. Name
2. Father's name
3. Address
4. Place of birth
5. Date of birth
6. Domicile
7. Nationality
8. Marital status
9. education
10. Experience
11. Extracurricular activities
12. References

8- Official Letters:

Official letters may be referring to in two meanings.
Office or formal letters
Government letters

The success of a business enterprise largely depends: on the organization of its office. An office is the nerve center of a business where plans are formulated and decisions taken. It is the office through which decisions are communicated for the purpose of execution, control is exercised to obtain best results and above all the functioning of different organs is effectively coordinated ensure prompt accomplishment of the task. Thus in the words of Prof. Dick see.

"The office is to a business what the mainspring is to a watch "while Prof. Couins says that "It must be the brain of the whole concern".

PRINCIPLES OF ORGANISATION OF BUSINESS OFFICE:

The modern office is a service development where, officer clerks and assistants carry out the functions of office. The principles adopted for the organization of the office of different types of business organization depend on the size and nature of these organizations. Following are some general principles to organize a business office.

a) Division of Work or Specialization:

specialization is the order of the day. The office work is divided into several processes and each process is undertaken by a separate person.

b) Flow of Work:

Smooth and continuous flow of work is essential. This can be achieved only M the layout is proper. Arrangement of desks ad tables, equipments and of the sets of office workers should be such as does not lead to backward movement of work.

c) Economy:

Office should not be expanded unnecessarily. Space requirements for staff should be determined on a consideration of the size and shape of the available space, the type of work that would be carried out etc. Use of minimum space be made possible with greater efficiency and flow of work, this can help to achieve economy in office operations.

(d) Health and Safety

The office premises be kept clean and must have tree flow of constant fresh air. Drinking water must be provided under hygienic conditions. Suitable and adequate sanitary convenience must be provided.

(e) Privacy:

the separate cabins or rooms assigned to top executives in an organization are called private offices. Their number must be restricted. The allotment of private offices should be made mainly on consideration of prestige, confidential nature of work and need for concentrating. Generally, wooden portions are used to provide privacy to high officials without interrupting work.

(f) Mechanization:

The simple typewriter and the sophisticated computer are used in a modern office, Machines are pressed into service to perform office operations. The dictating machine enables an executive to record his letters for subsequent typing by the typist, calculating and duplicating, may be done with the aid of mechanical devices for increasing the efficiency of work) Office machinery comprises machines for writing, duplicating, addressing, adding, calculating, sorting and ledger posting. Where there is a large amount of clerical work, and analysis under a number of headings is required, computers may be used.

Reception:
The reception rooms and waiting rooms for the visitors and customers should be comfortably and attractively furnished.

Decoration and Display
Pleasant surroundings are conducive to good work, a well decorated office can have good effect upon the morale of the staff. The reception hall should be decorated in an ultra-modern way. The office should be decorated in a homely way. The effect of a well decorated office will be spoiled if the walls are hunge with calendars, price lists and notices.

Efficiency:
The efficiency of the office to a large extent depends upon the quality of leadership and quality of planning, direction and control exercised by the executive. The organization of office should he such as to enable the office stall to discharge their functions efficiently. Efficiency in the office also depends on good office layout. Any negligence in this regard will damage the efficiency of the office staff.

Thus the office layout should be balanced and pleasing in appearance. Many business concerns are proud of their office decor and use it as a good advertisement for the concern.

Good Personnel:
All members of office staff must be specially trained and I behaved These qualities of personnel help in increasing the reputation and good will.

Chief Characteristics or Essentials of a Good Filling System:
A good filing system is that which fulfills the requirements of the business with minimum possible cost and the process of filing and reference is easier. The following are the essentials or chief characteristics of a good filing system:

1 . Accessibility:
The basic and most important requisite of a good filing system is that all records and papers kept in files must be easily accessibleto every official without any waste of time.

2. Simplicity:
the good filing system must be quite simple to understand and easy to follow. The filing system must be free from complications, so any official, without any special knowledge can use it.

3. Safety:
In an efficient filling system all papers and documents should be preserved safely and protected against dirt, moisture, rats, white ants and other insects. The system should include some check or other device to prevent unauthorized persons to approach the correspondence or other office record.

4. Suitability:
A good and effective filing system must suit the requirements of the business concern for which it is employed.

The requirement of each business house vary according to the nature and extent of its business. The filing system so chosen for any business unit must be suitable to its nature as well as requirements.

5.   Adaptability
The system of filing should be capable of being readily adopted to th changed requirements of the business concern.

6. Rapidity

A goods filing system should be such that the papers could be filed rapidly without any loss of time and they can be quickly picked up as and when required.

7. Accuracy

The filing system adopted should not allow any mistake to creep in. If stakes are mistakes are committed, they should be easily detected and rectified immediately.

8. Economy

An efficient filing system adopted should not be too costly. The cost incurred on the installation and maintenance of a proper system of filing should be strictly proportionate to the benefits derived out of it.

9. Minimum Space

the space occupied by filing system should be as small as possible. In other words, the floor space occupied by the filling equipments should be comparatively less.

10. Elasticity or Flexibility:

the system of filing adopted should be capable of expansion when needed. Hence the system of filing must also be capable of being contracted.

MODERN METHODS OF FILLING

With the tremendous increase in the volume of transactions and the consequent multiplication in the number of papers in an office, the above-mentioned methods of filing have become out-of-date. Those old-fashioned methods had to give way to the modem methods of which the Horizontal and the Vertical system are commonly used.

1) Horizontal Filling:

Under the horizontal filling system, the filed papers are allowed to rest in the file in a position (one upon the other). The papers are maintained in choronological order, that is, the order of the time they are received or dispatched. This method is simple, convenient and flexible. A paper can be inserted or taken out without disturbing the existing order of other papers. This also guards against misplacement and losses. Chronological order of the papers filed facilitates quick reference.

In contrast, when the volume of correspondence is large, files become bulky. To avoid this if the number of files is increased, it causes much inconvenience to locate the files and trace the required papers filed therein. If any paper is to be referred, in the process all letters get huddle and damaged. Even if a single paper is to be referred the entire file should be carried. If not the required paper should be removed in which case all the papers filed on the tope are to be removed.

There are primarily three systems of horizontal filing:

(a) Flat Files:

Usually these are cardboard or thick paper covers with two metal hinges to hold together the papers. All papers to be filed are classified first and a separate file may be maintained for each customer, subject or region. The papers are then punched and the metal hinges of the file are passed into the holes. Thus the papers are filed in chronological order.

b) Loose-leaf system:

'Usually files are arranged in the form of drawers in this system Insides the drawers thick PW sheets bearing either alphabetical or numerical marks are used which serve as index. The papers to be filed are, firstly, classified alphabetically or numerically. Then, they are placed before the index sheets to which the relate.

c) Lever-arch system

Under this system the papers are classified alphabetically or numerically and specially punched two holes. Later they are put through the projecting spikes. If any paper is to be inserted or to be taken out the lever is moved upward which will open the metal amhes. After the insertion or removal is over the arches are closed by moving ward. In process the existing order of the papers is not disturbed.

2-VERTICAL FILING

This is the most modern system of filling, it has grown essentially out of the drawbacks and defects of the horizontal method under which papers are so arranged that it is impossible to refer to them at short notice. Because of its outright superiority to the horizontal method, vertical fifing has come to be adopted by most of the modern offices aiming at efficiency in record keeping. According to this method, the papers and the files containing them are placed vertically, or in a standing upright position. Hence the name vertical file.

The equipment for vertical filing consists of two parts:

(a) Folders:

The folder may well be referred to as the basis of vertical filing. It is a folded sheet of manila or some other strong but flexible substance. The back of a folder or a tab attached to it is slightly higher than the front sheet. The extended edge of the back sheet is used for writing the description of the contents, name of the correspondent, number, etc. For each correspondence or subject, as the case may be, there may be separate folders. The papers relating to a correspondent or a subject are kept standing in chronological or other suitable order in the folder reserved for it. Usually the papers are not fastened by a 'clip' or 'holder', and any particular letter or document can be taken out or put in without disturbing other papers. Sometimes, however, 'clip folders are used to keep the papers fasten together.

(b) Cabinets

The other important part of equipment required fir vertical filing is a wooden or steel cabinet with a suitable number of drawers depending on the volume of papers to be preserved. The drawers must be deep enough to permit the folders to be placed in a standing position. The folders are placed vertically on their left-hand edge one behind the other. Each drawer is fitted with a mechanism called expander, which slides backwards or forward and holds the folders together. Sometimes the drawers may be suspended from rails or rods fitted in the drawers. In order to divide the drawer into convenient sections, 'guide" cards are inserted at appropriate points. When a particular folder is removed from a drawer for reference, memorandum card is put in its place showing its whereabouts. Generally, a cabinet has four drawers and each standard size drawer can accomodate

Business organizatin use diffrent types of office machines and devices to save time, money and labor. These machines are either old traditional and manual or modern and electronis. All such instruments cut down on cost of ime, money, and labor. There are two types of time saving devices which are given below:

OFFICE EQUIPMENT & MACHINE

I. Electronic Machines / Devices.

1. Elctronic typewriter
2. Paper shredders
3. Photocopiers
4. Computer
5. Cyclostyle
6. Calculator
7. Fax machine
8. Telephone
9. Video telephone
10. Telex
11. Dictating machine
12. Franking machine
13. Mail addressing machine
14. Check writting machine
15. Cash counting machine
16. Cash counting machine
17. Intercom
18. Email
19. Internet

II. Non-Electronic Devices:

1- Punch machine
2- Stapler
3- Staple remover

Typewriter:

Typewriter is very common and important office equipment. The use of typewriter enables the businessman to produce letters containing different types of messages, duplication through carbon papers is made easier in the case of typewriter than with pens. Different models such as standard, portable, electric, automatic etc. Are used

The standard model is generally used in business offices. It is satisfactory for most office work. There are special keyboards to meet special requirements and to get the most complicated work done . Electric typewriter make typing with much speed. Automatic typewriter are used in routine electrical systems such as preparing circular letters. Noiseless typewriters are much quicker in action than the standard typewriters. They are particularly used by the typist working near executives or other officials where noise disturbs.

Computer:

Computer is a wonderful invention in the world of calculation and computations. The computer revolution is know world wide. Most of the countries in the world have computes. They play a big part in the economic development of developing countries. They help in solving the problems of increasing population, urbanization and public welfare.

The business and financial community has found the computer essentials in all of its day-to-day operations. On the industrial forum, the computer plays a key roll in every type of operations from rolling mills to the manufacture of machine parts. Its virtually instantaneous calculations and computations and control of automated systems help, increased production shortens delivery time and improve quality.

A Computer performs the following operations:

1-A computer performs a sequence of operations.

A computer does whatever it is instructed. Computers are “programme controlled” and calculations and computations are performed in accordance with a pre arranged programme.

2-A computer reads information fed into it.

This reading allows great speed of computation.

3-A computer stores information.

The storage device in the computer is called memory.

4-A computer performs arithmetical operations.

This is done at very high speed in fact by millionths of a second.

Computer interrupts results and gives information in words and figures as the answers required.

Since 1975 computers development has been particularly rapid, and during 1980s computers were widely use in production of banks statement in and many other forms of business. Even more rapid progress is being made during 1990s.

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